FCC (Universal Service Fund)

One-page brief

Priority: 8 of 33 (score 3.5). **FY2026 outlays:** $10.1B (USAspending). **As of:** 2026-10-27. Public data only.

Bottom line

Almost all FCC spending is the Universal Service Fund, run by USAC: E-Rate for schools and libraries, Lifeline for low-income phone service, Rural Health Care and High Cost support. USAC publishes unusually detailed data, down to each E-Rate funding request, service provider and school. That makes the FCC a contained, data-rich pilot where the SBA patterns (shared addresses, related bidders, ineligible recipients) apply well.

Exposure

- $10.1B in FY2026 outlays.
- Lifeline: $830M in FY2025 outlays with about 9% improper (about $76M).
- E-Rate kickback and bid rigging cases between providers, consultants and school officials are a long-running DOJ case type.

Public data we can use

- **USAC Open Data:** E-Rate funding requests, commitments and disbursements by applicant and provider; Lifeline subscribers and support by provider and state; Rural Health Care commitments.
- **FCC National Broadband Map** and Form 477 history.
- **USAC investigation documents** and FCC enforcement actions.

Detection plays

1. **E-Rate collusion:** the same consultant or provider winning across many applicants with one bid, prices far above peers, and providers sharing owners with consultants.
2. **Lifeline outliers:** providers with subscriber counts or claims per area far beyond eligible population.
3. **Rural Health Care pricing:** urban/rural rate gaps far above peers.

First prototype

An E-Rate provider and consultant network map for the last five funding years, ranking relationships by single-bid share and price outliers.

Limits

Subscriber identities are not public. Bids and contracts are summarized, not published in full.

Who to take it to

FCC Enforcement Bureau and OIG, USAC Internal Audit and whistleblower program.

Sources

- PaymentAccuracy.gov: USF Lifeline
- USAC investigation documents
- DOJ: Illinois technology company owner pleads guilty to E-Rate fraud
- USAspending agency profiles (FY2026 outlays)